INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

Life Time Group Holdings

NYSE : LTH · Mature-Company DCF

2 July 2026 · the qualitative

$40.04

$8.89B mkt cap · 222M sh · $232M cash, $1.52B debt · BB- credit

THE CENTRAL QUESTION

Is Life Time a premium wellness platform with durable luxury economics — or a leveraged real estate vehicle whose positive FCF depends on perpetual $400M/year sale-leasebacks?

LTH trades at $40.04 ($8.9B mkt cap) on TTM revenue $3.0B and Adj EBITDA $824M (27.5% margin). 190+ premium athletic clubs, 891K members, 12-14 luxury openings/yr. But FY25 FCF $206M required $400M of sale-leaseback proceeds offsetting $870M capex — ex-SLB, operating FCF is zero. Bear: capital recycling unsustainable, leveraged real estate vehicle. Bull: luxury wellness category-of-one, SLB is smart financing. Today's price requires bull-case execution. Five scenarios, weighted; show your work.

PROBABILITY-WEIGHTED EXPECTED VALUE

$21.44 expected fair value today

-46.5% vs spot $40.04

FORWARD COMPOUNDED VALUE

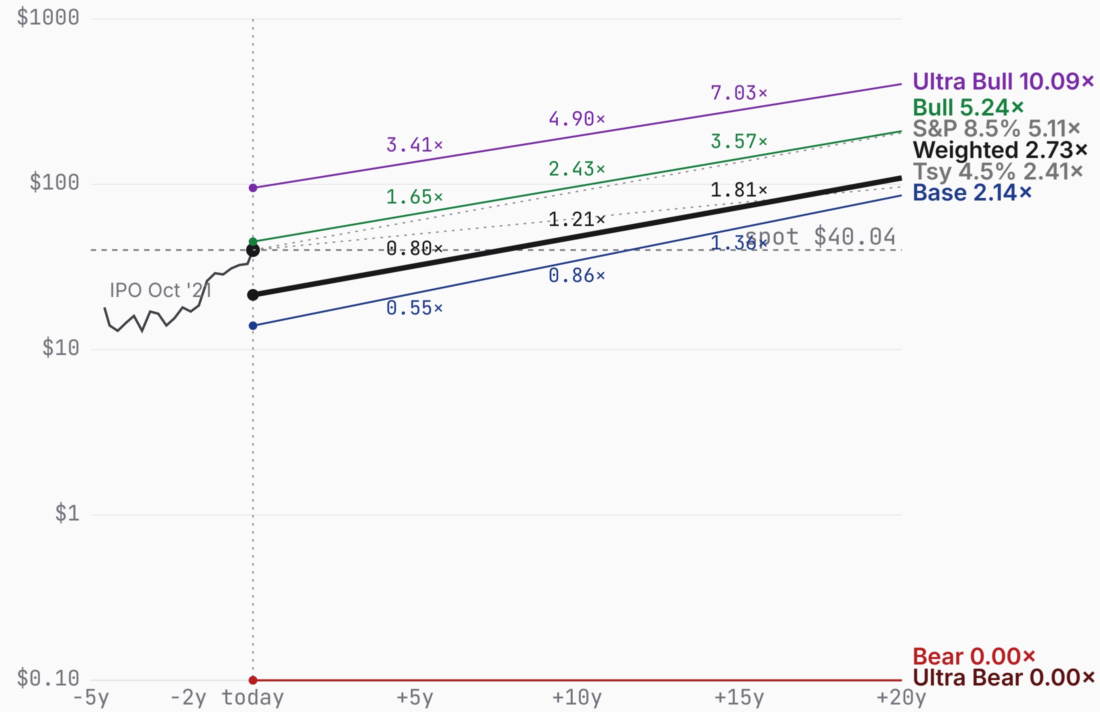
+5y	+10y	+15y	+20y
$32.14	$48.26	$72.58	$109.31
0.80× spot	1.21× spot	1.81× spot	2.73× spot

WEIGHTING RATIONALE

Bear 20% SLB-as-capital-recycling thesis structurally coherent but lacks traction vs FY24/25 execution.
Base 55% Modal outcome: LTH executes guidance, leverage stays in target.
Bull 20% Luxury wellness platform compounds; category-of-one; multiple expansion requires execution AND re-rating.
Ultra Bull 5% 250+ clubs by 2030 + ARPU $6,500 + SLB self-funded + multiple re-rates to 15x EV/EBITDA.

Bull (20%) + Ultra Bull (5%) together contribute $13.76 — 64% of the $21.44 expected value despite 25% combined probability. Today's spot ($40.04) sits 87% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	BEAR	BASE	BULL	ULTRA BULL
$0.00	$0.00	$13.96	$45.00	$95.14
-100.0% vs spot	-100.0% vs spot	-65.1% vs spot	+12.4% vs spot	+137.6% vs spot
CAGR -3.4% WACC 11.5%	CAGR +5.1% WACC 11.0%	CAGR +7.8% WACC 9.5%	CAGR +9.8% WACC 8.0%	CAGR +12.0% WACC 7.5%
SLB $0.6B Prob 8%	SLB $0.9B Prob 12%	SLB $1.7B Prob 55%	SLB $2.0B Prob 20%	SLB $3.0B Prob 5%
Leverage bites; deep decline.	Capital recycling, not earnings.	Premium platform, leveraged structure.	Luxury wellness platform compounds.	Luxury category-of-one; 15x re-rate.

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AR 2EB | ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO — LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

Life Time Group Holdings scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 8% Bear 12% Base 55% Bull 20% Ultra Bull 5% · Weighted expected $21.44 (-46.5% vs spot)

ULTRA BEAR $0.00

-100.0% vs spot

Probability 8%

Leverage bites; deep decline.

WHY 8%

The deepest-failure tail, split from the bear so the downside is not one undifferentiated bucket (the book-wide convention). 8% weight reflects a genuine recession-plus-leverage scenario for a company whose enterprise obligations approach $4B; distinct from the bear (flat-to-soft, equity ~$0) in that revenue actually declines and the SLB engine reverses. Mature names carry no within-scenario failure probability, so the value is the levered DCF floored at zero.

WHAT HAPPENS

The deepest tail: a real recession compresses discretionary luxury-fitness spend, so memberships and revenue do not merely decelerate (the bear) but decline — revenue shrinks at a low-single-digit rate through FY30 and the FCF margin erodes toward the low single digits.

The sale-leaseback tap closes faster and on worse terms in a downturn: less real-estate value is realized (~$0.55B over five years vs the bear's ~$0.95B) while the rent obligations from prior SLBs keep compounding against a shrinking revenue base — the capital-recycling engine runs in reverse.

BEAR $0.00

-100.0% vs spot

Probability 12%

Capital recycling, not earnings.

WHY 12%

Bearish thesis is structurally coherent: LTH's headline FCF is dependent on SLB proceeds (~$400M/yr); strip those out and operating FCF is barely positive. Cumulative SLB program is finite (~$2B remaining); each SLB trades one-time cash for permanent rent increase. Net debt + capitalized lease obligations near $4B. If macro slows and luxury fitness spend compresses, FCF margin drops, stock works to $20-25. The 12% weight reflects that this thesis bumps against LTH's actual track record: FY24/25 execution strong, recent S&P upgrade validates the credit story, and new luxury club economics ($25-35M revenue vs $15-20M legacy) genuinely change the unit math.

WHAT HAPPENS

The pessimistic case is straightforward. LTH only delivers 'positive FCF' after $400M/year of sale-leaseback proceeds. Strip those out and operating FCF is barely positive — FY25 OCF $870M minus capex ~$870M equals zero before SLB. The reported $206M FY25 FCF is essentially $400M of real estate proceeds offset against expansion capex. This is capital recycling reported as cash generation.

The SLB program is finite. LTH has ~190 clubs, of which perhaps 40-50 remain owned outright after cumulative SLB transactions. At $40M average per club, that's roughly $2B of remaining real estate runway. At the planned $400M/year pace, the tap closes in 4-5 years — exactly the DCF horizon. Meanwhile rent obligations from prior SLBs (~$300M/yr and growing) compound — every SLB trades a one-time cash inflow for a permanent operating expense increase.

BASE $13.96

-65.1% vs spot

Probability 55%

Premium platform, leveraged structure.

WHY 55%

Modal outcome. LTH executes guidance: revenue grows 11% FY26, decelerating to mid-single-digits. EBITDA margin holds 28-30% (top quartile for consumer services). New 2026 club openings (1.2M sq ft, mostly luxury) mature over 3-4 years. SLB cadence holds for 2-3 more years then tapers. Net debt leverage stays in the 1.5-2.0x EBITDA target. The 55% weight reflects that this requires the least faith — sequential execution on plans already in motion. The base case is well-run but priced for steady-state execution; the multiple stays compressed.

WHAT HAPPENS

The middle path takes LTH's recent execution at face value. Revenue grows 11% in FY26 per guidance, decelerating to mid-single-digits as the base builds. Adjusted EBITDA margin holds in the 28-30% range — top quartile for consumer services. Average revenue per membership grows from $3,531 toward $4,000 as new luxury clubs ramp at higher price points.

New club economics are unique: 1.2M sq ft of 2026 openings is concentrated in resort-style luxury formats generating $25-35M annual revenue at maturity vs $15-20M for legacy. Maturation takes 3-4 years; 2026 openings contribute meaningfully only by 2028-29. SLB cadence holds at $300-400M for 2-3 years then tapers. Net debt leverage stays in the 1.5-2.0x EBITDA target.

BULL $45.00

+12.4% vs spot

Probability 20%

Luxury wellness platform compounds.

WHY 20%

Multi-decade luxury wellness platform compounding. LTH is genuinely a category-of-one — no other US operator at premium luxury athletic country club scale (Equinox is private and smaller; gym chains are budget-positioned; boutique concepts are single-discipline). In-center revenue (Dynamic PT, MIORA hormone optimization, swim lessons, pickleball clinics, spa, cafe) compounds faster than dues. EBITDA margin expands toward 30%+ as new-club mix shifts to higher-revenue luxury formats. The SLB flywheel sustains: 12-14 new luxury clubs/year become future SLB inventory 5-7 years later. The 25% weight reflects that multiple expansion (15x P/E to 22-25x) is plausible but requires both execution AND market re-rating — the conjunction is demanding.

WHAT HAPPENS

The bull case is that Life Time is a category of one. There is no other US operator at the premium luxury athletic country club scale — Equinox is private and smaller, gym chains are budget-positioned, boutique concepts are single-discipline. LTH's 'Country Club' positioning combines fitness, racquet sports, kids, pools, dining, work-from-club spaces, and recovery in a single membership.

In-center revenue compounds faster than membership dues — Dynamic Personal Training, swim lessons, pickleball clinics, MIORA hormone optimization, Life Spa, Life Cafe. In-center revenue per member grows from $1,050 toward $1,400-1,500. SLB program sustains: as LTH opens 12-14 new luxury clubs/year, each becomes future SLB inventory 5-7 years later. The flywheel: build → operate → SLB → recycle.

ULTRA BULL $95.14

+137.6% vs spot

Probability 5%

Luxury category-of-one; 15x re-rate.

WHY 5%

Joint conditional: 250+ clubs by 2030 (40%) AND ARPU $6,500+ achieved via medspa/recovery upsell (50% conditional on club growth) AND SLB self-funded with bank capital (60%) AND multiple expansion to 15x EV/EBITDA (50%). Joint at 4-6%, reflected here at 5%. Tail of tails: LTH stops being a 'leveraged real estate compounder' and becomes a 'luxury wellness software-like compounder.'

WHAT HAPPENS

The ultra-bull case is that LTH compounds as the dominant luxury wellness platform AND the market re-rates. Network grows 191 → 250 clubs by 2030 at 15+ new clubs/year (vs 12-14 base). Average member spend rises from $4,500 to $6,500 annually as ultra-luxury services (medspa, nutrition science, recovery) drive ARPU. SLB program self-funds at 6% cap rate with bank financing. EBITDA grows to $1.5B+ by 2030.

Multiple expands from 9x EV/EBITDA (current) to 15x as growth story consolidates and capital structure de-risks. Result: $22.5B EV - $1.3B net debt = $21.2B equity ÷ 235M FY30 shares = $90/share. The ultra-bull case requires BOTH operational excellence AND multiple re-rating — most LTH bulls only price one of these.

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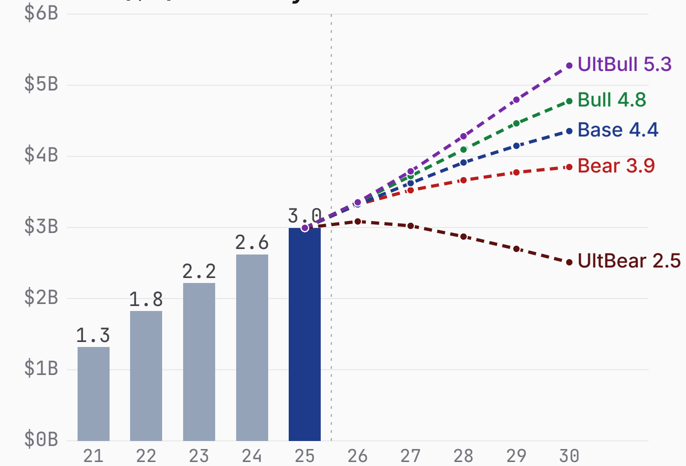
Life Time Group Holdings business snapshot

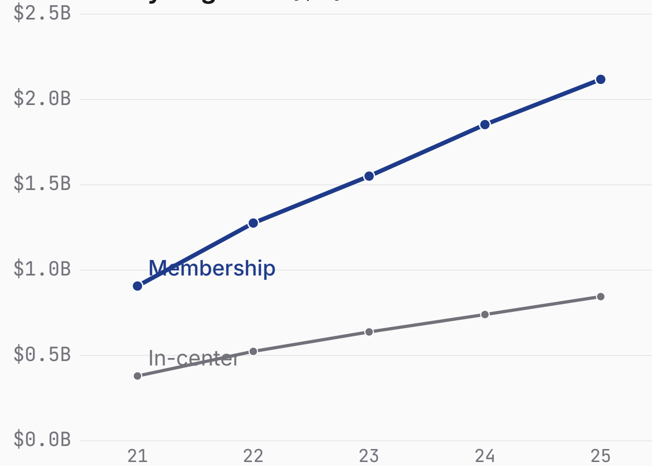
Bear $0.00 Base $13.96 Bull $45.00

FY23–FY25 history + FY26–FY30 scenario projections · fiscal years end Dec 31 · 10-K FY25, Q1 2026 10-Q, S&P credit reports

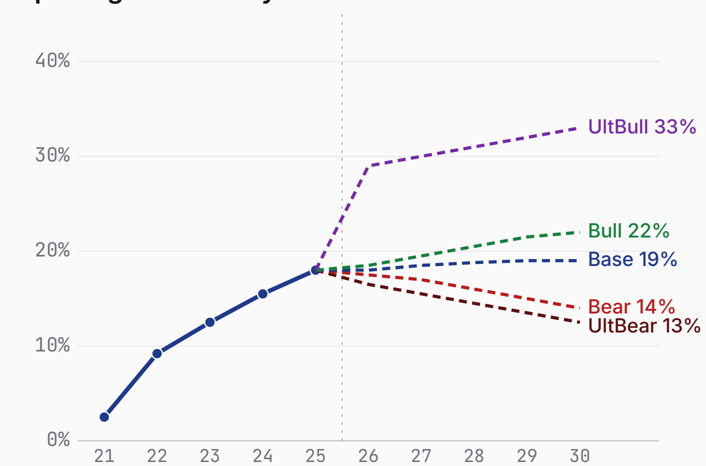
Revenue ($B) — history + scenarios to FY30



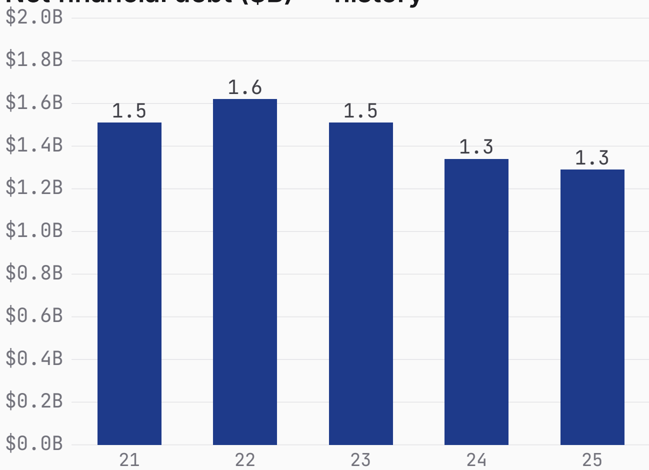
Revenue by segment ($B)



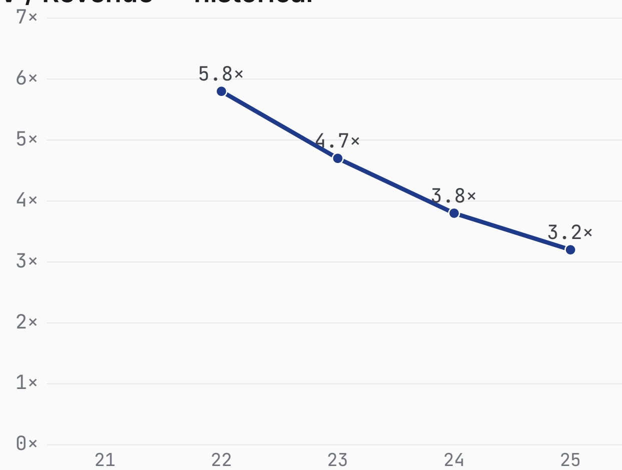
Op margin — history + scenarios



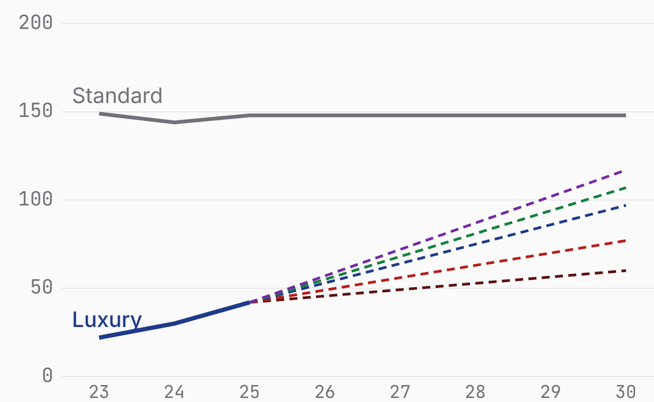
Net financial debt ($B) — history



EV / Revenue — historical



Club count — Luxury vs Standard



Sources: LTH 10-K FY25, Q1 2026 10-Q, S&P / Moody's credit reports, REIT comparables for SLB cap rates.

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Life Time Group Holdings 7 Powers · the moat, scored

Bear $0.00 Base $13.96 Bull $45.00

Arena. Premium health-and-wellness clubs — Life Time vs Equinox (urban premium), boutique studios (Xponential et al.), value gyms (Planet Fitness), and at-home fitness.

POWER AUDIT
dominant-power durability: high

POWER AUDIT · 7 POWERS

Scale Economies	2/3	Large-format clubs + real-estate scale spread fixed cost; ancillary revenue (spa, cafe, work).
Network Economies	1/3	Member community/events create some stickiness; not a true network.
Counter-Positioning	2/3	Premium 'athletic country club' big-box that mass-market and boutiques can't straddle.
Switching Costs	2/3	Family memberships, onboarding, community and locker inertia.
Branding · thesis leans here	3/3	The premium destination brand in big-box fitness.
Cornered Resource	2/3	Prime, large-footprint real-estate locations that are hard to replicate.
Process Power	2/3	Club operating model + ancillary-revenue playbook honed over years.

PEER SET

Equinox — 6% gr · private
Urban ultra-premium; overlaps at the top end.

Planet Fitness — 10% gr · 36% mgn · ~20x EV/EBITDA
Mass-market low-price; a different segment, but caps pricing power below.

Boutique studios (Xponential) — 8% gr · 20% mgn · ~8x
Fragmented, asset-light franchising; cherry-picks modalities.

THREAT VECTORS · FALSIFIERS

Counter-Positioning · Equinox + boutiques
falsifier: Same-club revenue growth < 5% for 2 consecutive years while membership churn climbs above 35%.

Switching Costs · Macro down-trade / at-home
falsifier: Dues-paying membership declines YoY in a non-recession year.

> COMPETITIVE READ
> A durable premium brand plus prime-real-estate moat that underwrites the DCF's terminal economics; the live risks are macro down-trade and Equinox at the top end — same-club revenue and churn are the erosion gauges.

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Life Time Group Holdings show your work

Bear $0.00 Base $13.96 Bull $45.00 · Weighted $21.44 (-46.5%)

ULTRA BEAR $0.00

ASSUMPTIONS

5y revenue CAGR (%)	-3.4
Year-5 op margin (%)	12.5
WACC (%)	11.5
Terminal growth (%)	1.0
5y SLB total ($B)	0.55
Starting revenue ($B)	3.00
Scenario probability (%)	8

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	3.08	+17%	+0.12	+0.11
FY27	3.02	+16%	+0.10	+0.08
FY28	2.87	+14%	+0.09	+0.06
FY29	2.70	+14%	+0.07	+0.04
FY30	2.51	+13%	+0.05	+0.03

Σ PV explicit FCF	+0.32
+ PV terminal (g 1.0%)	0.28

EQUITY BUILD · $B & PER SHARE

Operating EV	$0.60B
+ Cash & investments	$0.23B
− Total debt	$1.52B
= Equity value	$-0.69B
FY30 shares (M)	222
= Expected per share	**$0.00**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$0.00	$0.00	$0.00	$0.00
0.00×	0.00×	0.00×	0.00×

BEAR $0.00

ASSUMPTIONS

5y revenue CAGR (%)	+5.1
Year-5 op margin (%)	14.0
WACC (%)	11.0
Terminal growth (%)	1.5
5y SLB total ($B)	0.95
Starting revenue ($B)	3.00
Scenario probability (%)	12

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	3.32	+18%	+0.13	+0.12
FY27	3.52	+17%	+0.18	+0.14
FY28	3.66	+16%	+0.15	+0.11
FY29	3.77	+15%	+0.11	+0.07
FY30	3.85	+14%	+0.08	+0.05

Σ PV explicit FCF	+0.49
+ PV terminal (g 1.5%)	0.49

EQUITY BUILD · $B & PER SHARE

Operating EV	$0.98B
+ Cash & investments	$0.23B
− Total debt	$1.52B
= Equity value	$-0.31B
FY30 shares (M)	222
= Expected per share	**$0.00**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$0.00	$0.00	$0.00	$0.00
0.00×	0.00×	0.00×	0.00×

BASE $13.96

ASSUMPTIONS

5y revenue CAGR (%)	+7.8
Year-5 op margin (%)	19.0
WACC (%)	9.5
Terminal growth (%)	2.5
5y SLB total ($B)	1.70
Starting revenue ($B)	3.00
Scenario probability (%)	55

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	3.32	+18%	+0.23	+0.21
FY27	3.62	+19%	+0.29	+0.24
FY28	3.91	+19%	+0.31	+0.24
FY29	4.15	+19%	+0.33	+0.23
FY30	4.36	+19%	+0.35	+0.22

Σ PV explicit FCF	+1.14
+ PV terminal (g 2.5%)	3.24

EQUITY BUILD · $B & PER SHARE

Operating EV	$4.39B
+ Cash & investments	$0.23B
− Total debt	$1.52B
= Equity value	$3.10B
FY30 shares (M)	222
= Expected per share	**$13.96**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$21.98	$34.60	$54.46	$85.74
0.55×	0.86×	1.36×	2.14×

BULL $45.00

ASSUMPTIONS

5y revenue CAGR (%)	+9.8
Year-5 op margin (%)	22.0
WACC (%)	8.0
Terminal growth (%)	3.0
5y SLB total ($B)	2.00
Starting revenue ($B)	3.00
Scenario probability (%)	20

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	3.35	+19%	+0.30	+0.28
FY27	3.72	+20%	+0.41	+0.35
FY28	4.10	+21%	+0.49	+0.39
FY29	4.46	+22%	+0.58	+0.43
FY30	4.78	+22%	+0.67	+0.46

Σ PV explicit FCF	+1.90
+ PV terminal (g 3.0%)	9.38

EQUITY BUILD · $B & PER SHARE

Operating EV	$11.28B
+ Cash & investments	$0.23B
− Total debt	$1.52B
= Equity value	$9.99B
FY30 shares (M)	222
= Expected per share	**$45.00**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$66.12	$97.15	$142.75	$209.74
1.65×	2.43×	3.57×	5.24×

ULTRA BULL $95.14

ASSUMPTIONS

5y revenue CAGR (%)	+12.0
Year-5 op margin (%)	33.0
WACC (%)	7.5
Terminal growth (%)	3.5
5y SLB total ($B)	3.00
Starting revenue ($B)	3.00
Scenario probability (%)	5

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	3.36	+29%	+0.35	+0.33
FY27	3.80	+30%	+0.50	+0.43
FY28	4.29	+31%	+0.70	+0.56
FY29	4.81	+32%	+0.90	+0.67
FY30	5.29	+33%	+1.10	+0.76

Σ PV explicit FCF	+2.75
+ PV terminal (g 3.5%)	20.90

EQUITY BUILD · $B & PER SHARE

Operating EV	$23.65B
+ Cash & investments	$0.23B
− Total debt	$1.52B
= Equity value	$22.36B
FY30 shares (M)	235
= Expected per share	**$95.14**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$136.59	$196.09	$281.51	$404.14
3.41×	4.90×	7.03×	10.09×

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Life Time Group Holdings People · Opportunity · Context · Deal

Bear $0.00 Base $13.96 Bull $45.00

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Bahram Akradi · founder-led — 30 yrs in seat

7.3% insider ownership

MEDIUM key-person risk

Capital allocation (realized)
Founder Bahram Akradi is Chairman, President and CEO (leading since the 1990s). The post-LBO story is deleveraging — net leverage cut to ~1.6x (from ~2.3x) — funded by operating cash flow and a recurring sale-leaseback real-estate strategy, against heavy new-club capex. Capital return just began: a first-ever $500M buyback (early 2026), no dividend. The PE sponsors (Leonard Green, TPG) that took the company private in 2015 are selling down.

Incentive alignment
Akradi's steady-state pay is modest (~$6.3M FY2024); the headline ~$218M for 2025 was a one-time exercise of 2015 legacy options, not run-rate, and he net-accumulated shares. He owns ~7.3%. The persistent flag is a related-party real-estate web — Life Time leases multiple properties from Akradi-affiliated entities ($0.8-2.6M/yr each) and historically forgave a $17.7M loan to him — with audit-committee oversight.

GOVERNANCE FLAGS

- single class of common stock, one vote per share — no founder super-voting; Akradi's ~7.3% economic stake equals his vote
- controlled-company status ENDED (June 2025) as the sponsor "Voting Group" fell below 50%; Leonard Green retains one board-nomination right, TPG/Partners Group none
- founder concentration — Akradi holds all three of Chairman, President and CEO; he also chairs another public company (Northern Oil & Gas)
- the lead independent director (Danhakl) is the managing partner of lead sponsor Leonard Green — an independence caveat; board is ~10 of 12-13 independent
- classified / staggered board (three classes), plus a recurring related-party real-estate web (Akradi-affiliated leases / sale-leasebacks) under audit-committee oversight

THE FOUR LEGS

People ●●●○○
observable composite · 1–5

Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value (the -46.5% finding) + position sizing.

> **PEOPLE READ**
> The positives are real for a founder-led, post-LBO name: single-class one-vote (no super-voting; the founder owns just ~7.3%), controlled-company status already ended, deleveraging done, and a first buyback. Holding it at 3 are the concentration of all three top titles in Akradi, a lead independent director who is the lead sponsor's managing partner, a classified board, and — most of all — a persistent related-party real-estate web (Akradi-affiliated leases and a historical loan forgiveness). Key-person risk is moderate.

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Life Time Group Holdings supporting analysis · disclaimers · glossary

Bear $0.00 Base $13.96 Bull $45.00

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **Track record is strong.**
FY24-25 execution delivered guidance; S&P upgrade validates credit. Removes the leveraged-real-estate-vehicle framing.

2 **New club economics shift mix.**
1.2M sq ft of 2026 luxury openings generate $25-35M revenue vs $15-20M legacy. Unit economics improving, not deteriorating.

3 **Category-of-one positioning.**
No US operator at LTH's premium luxury athletic country club scale. Equinox private + smaller; gym chains budget; boutiques single-discipline.

4 **In-center monetization compounds.**
Dynamic PT, MIORA, pickleball, spa, cafe — in-center revenue per member growing from $1,050 toward $1,400-1,500. High-margin, recurring.

5 **SLB flywheel sustains.**
New clubs become future SLB inventory in 5-7 years. Cadence of $400M/yr can persist as long as new construction continues.

FALSIFICATION TRIGGERS

Bear validation

FY27 revenue growth < 5% · SLB cadence < $300M/yr · Net debt / EBITDA > 2.5x · Credit rating downgraded below BB-

Bull validation

FY27 revenue growth > 9% · EBITDA margin > 30% · In-center revenue per member > $1,250 · P/E multiple expands above 18x

Reframe needed

If Equinox or comparable luxury operator IPOs at premium multiple — establishes valuation comparable for LTH multiple expansion

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Scenarios, valuations, projections, and any forward-looking statements involve substantial assumptions and uncertainty. Actual results may differ materially from those projected. Past performance is not indicative of future results. The model is a model; reality is not.

Author may hold positions.

The author may own, intend to acquire, or hold short exposure to $LTH or related securities at any time. Positions may change without notice and without an update to this document. Do not assume the author's positions match the tone of the analysis.

Do your own research.

Do not make investment decisions on the basis of this document. Consult a licensed financial professional and read the company's official SEC filings (10-K, 10-Q, 8-K, proxy) before forming any investment view. If you wouldn't trust your retirement to a chatbot, don't trust this either.

GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

SLB — Sale-leaseback. LTH sells owned club property to a REIT and leases it back. Converts capital to liquidity; adds permanent rent.

MIORA — Hormone optimization and longevity service line. New higher-margin in-center revenue category, central to the bull ARPU thesis.

Athletic Country Club — LTH's positioning — luxury multi-discipline format combining fitness, racquet sports, pools, kids, dining and recovery.

In-center revenue — Revenue beyond membership dues: PT, classes, spa, cafe, retail. Currently ~30% of total; compounds faster than dues.

Dynamic PT — Personalized training program. Highest-margin in-center revenue stream and a key ARPU driver as the luxury mix grows.

Lease-adjusted leverage — Per ASC 842, capitalized operating lease liabilities included in total obligations. Adds ~$2.5B+ to $1.29B net debt.